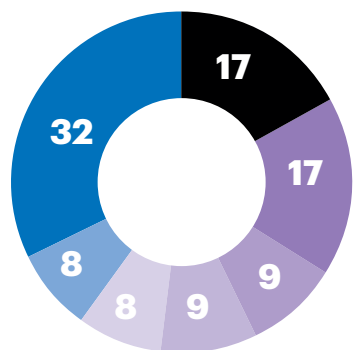


HOSTS WITH THE MOST

NTT Netmagic and ST Telemedia are leaders in India's data centre market in terms of net operational square feet

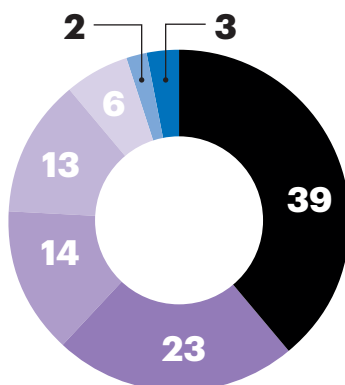


■ NTT NETMAGIC ■ ST TELEMEDIA ■ CTRLS DATA CENTERS ■ RELIANCE ■ NXTRA DATA ■ SIFY ■ OTHERS

MARKET SHARE IN PER CENT
SOURCE 451 RESEARCH DATACENTER KNOWLEDGEBASE, 2020

MAXIMUM CITY, MAXIMUM POSSIBILITY

Region-wise expected data centre capacity in India by 2028



■ MUMBAI ■ HYDERABAD ■ NCR ■ CHENNAI ■ PUNE ■ BENGALURU ■ OTHERS

SHARE IN TOTAL DATA CENTRE CAPACITY IN PER CENT; SOURCE ICRA RATINGS

From India's financial capital Mumbai, it would take milliseconds for a data packet to reach there and return—long enough to change the fortunes of a stock-broker or frustrate a gamer. But with data centres located in India, the travel time falls to nanoseconds. Not only will this help improve the users' online experience, it will also strengthen the digital revolution. And with strong forecasts of India's growing digital economy, the demand for new data centres is expected to stay firm.

And so it is that capital is pouring in from pure-play data centre players like NTT, CtrlS and NxtGen; hyperscalers such as Amazon Web Services (AWS), Microsoft and Google; and infrastructure players such as Adani Group and Hiranandani Group. What has got the Adanis and Hiranandanis to jump in? These giants are not heading for the tech space. Instead, they are building infrastructure with the help of some tech partners, by going for

player Equinix that is investing \$86 million in India.

The numbers are real. India had more than 700 million internet users at the end of 2022, almost double that in the US, per data from Statista. With a population of 1.4 billion and a growing base of smartphone users (currently at 600 million, according to the Ministry of Information and Broadcasting), digital services becoming ubiquitous thanks to cheap data, and 5G telecom services promising to explode, India needs massive infrastructure to store and manage the data deluge that is coming. "The demand for data centres has been growing over the years due to several factors, such as the increasing adoption of cloud computing, the growth of big data, the rise of the Internet of Things (IoT), and the proliferation of mobile devices," says Sunil Gupta, Co-founder & CEO of Yotta Data Services, a Hiranandani Group company.

BOOMING BUSINESS

Till a few years ago, most of India's data was stored elsewhere, zipping between faraway locations (such as Singapore) through undersea cables in the Indian Ocean.

the co-location or colo model. In the colo model, data centre players construct the building, supply power, cooling, physical racks, security and other support measures. Customers (in this case, enterprises) bring their own IT hardware and expertise. Gupta says more than 75 per cent of data centre service providers worldwide are in the colo space. In India, too, almost every new entrant that has come has colo as its business model, he adds.

Here is how this works. Data centres basically charge for the space they provide. And as data centres require a huge amount of consistent power supply, "the charging model for co-location simply becomes how many racks a customer is taking and how much power they will consume", explains Gupta. It's like taking an apartment on rent, and paying the monthly rental and electricity bill.

In July 2019, real estate major Hiranandani Group forayed into the segment with Yotta Infrastructure (now known as Yotta Data Services)—a managed data centre service provider that designs, builds and operates large-scale data centres. For now, Yotta has two operational data centres—Yotta NM1 in Navi Mumbai; and